

helpful reviews of concepts needed for understanding the economic issues being discussed. At the same time, the narratives of the crashes are lightly spiced with amusing asides and historical anecdotes that keep the book lively. These together make *Seven Crashes* enjoyable to read.

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We Are Not Able to Live in the Sky: The Seductive Promise of Microfinance. By Mara Kardas-Nelson. Macmillan, Metropolitan Books, 2024. Pp. xii, 381. \$31.99, cloth; \$15.99, e-book. ISBN 978–1–250–81722–8, cloth; 978–1–250–81725–9, e-book. (JEL G21, I32, I38, J16, O15, O16)

The first sign of a problem with Mara Kardas-Nelson's book on "the seductive promise of microfinance" is the map in the front matter. As the book intends to trace the rise and fall of microcredit in the recent history of global economic development, a map laying out key events is a good idea to open with, but the contents of this map bode poorly. There is an entry for Bolivia, but it does not mention the credit crisis of 2001—a crisis so explosive that according to Elisabeth Rhyne, who wrote most prolifically about it in her roles at both Accoin and the US Agency for International Development (USAID), "associations of poor fruit vendors, cobblers and farmers took Bolivia's Superintendency of Banks hostage." There are four separate and long entries for the United States mostly involving the various funders and creditors. There is one short entry for "India"; it does not mention the credit crisis in Andhra Pradesh. Instead, it says only that there were "approximately 200 microfinance-linked suicides" in 2010 (the year of the crisis).

This is the mode you can expect for the book. It uses the most evocative possible metric, suicide, in what appears to be an effort to drive home how important and serious the situation is, and yet in doing so it somehow actually understates how catastrophic the crisis in Andhra Pradesh really was. There were 9.7 million microfinance borrowers in the state in 2010, according to the Consultative Group to Assist the Poor (CGAP 2010); the chaos in these markets disrupted all of their lives and the lives of everyone around them. Breza and Kinnan (2021) find "significant decreases in casual daily wages, household wage earnings, and consumption" even in neighboring states. The toll on Andhra Pradesh itself is probably impossible to calculate.

This omission would be bad enough in a book that is meant to make microfinance look good; this book is decidedly otherwise, which suggests a lack of research. This is unfortunate in a volume purporting to offer the history of microfinance. It is a good moment to review such a history, more than ten years since Roodman's *Due Diligence* (Roodman 2012), with much more research now available, including the spate of randomized controlled trials (RCTs) and significant quasi-experimental work as well. Almost all of this bounty will be wasted; it is neither cited by the book nor does it appear to have informed it.

Interspersed with the chapters apparently chronicling the history of the industry and said research are stories about the personal experiences of women in Sierra Leone, the place Kardas-Nelson knows best. This is a good choice. The most underappreciated idea in the academic economic literature on microcredit is that debt is very stressful, something I only understood from my own experience and from speaking with academic psychologists and anthropologists. It is very valuable for Kardas-Nelson to lay out that bare reality through stories. But I found the "fictionalization" of the stories very jarring, especially when the subjects face great hardship. Presumably Kardas-Nelson's subjects told her what they were thinking at these difficult moments, for otherwise she could not know this. But sharing one's feelings in an interview has a very different emotional tone and connotation than just privately thinking painful thoughts, which is the way these stories are presented.

Several times the book engages in a literary device where it first presents the supposed story we in the public are used to—say, Mohammed Yunus brilliantly inventing the idea of lending money to poor people for the first time in history all by himself—only to undermine it later. Such a device is interesting if the payoff is fast, but in this case, we meet Yunus on page 20 and it is only on page 63 that we learn that of course his basic idea is very easy to come up with and has a long history going back at least 150 years.

The intervening 40 pages are irritating to the reader who already knows the history, and I can only imagine that the switcheroo at page 63 feels a little belated to the uninitiated as well.

The book also does a middling job of relaying the scholarly consensus on microcredit to its audience. I am glad to see extensive mention of the RCTs and associated research, and Kardas-Nelson correctly describes the results of the research as “brutal” (p. 210). The headline is good, but the deeper discussion of this body of evidence is overall quite poor. Only two RCTs are cited in this section—if she had read the special issue of the *American Economic Journal: Applied* (2015, volume 7, number 3) in which these were published, she could have cited the four others and understood her subject that much better.

Instead, Kardas-Nelson veers off course unannounced into discussing completely unrelated sources. On page 211 she says “several studies showed that the borrowers were actually poorer than before they took out the loan.” This could well be true—over the years of reading all of these studies, I vaguely remember something along these lines, though I know well enough not to put much stock in pre–post comparisons—but which studies showed this? The endnotes point to an opinion piece in *Economic and Political Weekly* by Vijay Mahajan, and he says he got this insight from David Hulme and Paul Mosley’s *Finance against Poverty* (Hulme and Mosley 1996). But this sentence appears within the discussion of the RCTs, and whatever studies are referenced by Hulme and Mosley cannot be RCTs. Here I think we can see a serious weakness in the book’s decision to use silent endnotes rather than inline citations or even footnotes. If this book had used a more transparent in-text referencing method, the reader would be alerted immediately that Kardas-Nelson has suddenly and without warning shifted from an evidence base published in 2015 to discussing a book written in 1996.

When the book is not doing all of that, it mostly beats a familiar drum against what it understands as “neoliberalism,” the push toward market-based solutions to social and economic problems. Thus, it repeats the familiar story of “commercialized” microlenders driving people toward “overindebtedness”; making this claim is complicated, with little hard evidence to support it. Strangely, to bolster this narrative and also as the segue into the Andhra crisis, on page 242 the book offers a story from Chuck Waterfield claiming that at USAID the loan officer incentives were structured to encourage overborrowing. Yet USAID is not a commercial lender and USAID did not play a major role in lending in Andhra Pradesh in 2010. Nevertheless, by the time we do get to Andhra Pradesh, on page 243, it is only this commercialization story that Kardas-Nelson can see.

Perhaps because of this, although Kardas-Nelson rightly discusses the growing public concern and instability in the microfinance sector in Andhra Pradesh throughout 2010, she shies away from fully informing her readers of what happened next. On page 248 we hear “some [politicians] encouraged debtors to default. So millions did.” A few sentences later, “there were soon so many restrictions on what lenders could do that there was little microfinance lending done in the state at all.” This is an odd way to talk about a situation in which a state government issues an emergency ordinance against microcredit industry, which it followed up with a bill, passed by the assembly in late 2010 and ratified in early 2011.¹ The book then meekly notes that the near-total collapse of lending “may have had serious consequences for people” including a drop in food consumption. I was struck by this. “May have”? What a hedge! Kardas-Nelson is happy elsewhere in the book to report pure rumors heard by Jeff Ashe about terrible practices in Grameen and BRAC (the Bangladesh Rural Advancement Committee; p. 245), yet does not fully report to her reader the recorded legislative activity of the government of Andhra Pradesh.

The endnote to this “may have” moment cites a report from livemint.com. Curiously, the report is mainly about the loss of 35,000 jobs, which seems pretty relevant to the story. But Kardas-Nelson declines to inform her reader about that either, noting only a “drop in consumption.” She also does not cite Breza and Kinnan (2021), available as a working paper since 2016, which shows great economic hardship even in neighboring states.

¹ Andhra Pradesh Micro Finance Institutions (Regulation of Money Lending) Act, 2011, Act No. 1 of 2011.

Perhaps mentioning all of this would make it harder to insist the problem only stems from “commercialization,” which in turn is somehow embodied by USAID, even when it is not present or relevant. (This makes reading this in February 2025, post-Trump dismantling, a grim irony.) Elisabeth Rhyne’s work is mentioned, but her suspicious affiliation is noted, and she is mostly just a foil against Kardas-Nelson’s apparent hero, Chuck Waterfield. The book relies extensively on Waterfield and also Jeff Ashe; David Roodman is mentioned once, per the index. This is the same number of times the book mentions Exxon Mobil.

I do not know why Waterfield and Ashe, her main sources, did not inform Kardas-Nelson of the microcredit crises in Bolivia in 2001; in Nicaragua, Bosnia, and Morocco in 2009; in Nigeria in 2010; and in the Indian state of Karnataka in 2009, right before Andhra hit the wall. Perhaps they thought she knew it, or she would get it from other sources. If so, they should have known better; the history of microcredit is in danger of being lost to the public imagination, as all histories are when people have something to lose from them being known.

There are glimmers of promise in this text, and the best part of it is the conclusion. There, the author lays out in humanistic terms the trouble with being “against” microfinance—even though of course we have tepid evidence at best that it really does much of anything—which is that some people actually do want to take these loans. I found the final chapter of this book very compelling because it is grounded in what the author knows about: the lives of the people she met based on the conversations she actually had with them, presented as what they were (conversations).

Yet it is profoundly strange to spend the entire book bashing neoliberalism and then end with a conclusion that if people want something then it can’t be all bad, and we can’t entirely condemn it or ban it. That is the neoliberal ethic! To be anything other than neoliberal you have to stomach saying people should not be allowed to get what they want, and that some or perhaps many freely made transactions are bad for you, so bad that someone should prevent them. Real leftists, and for that matter real conservatives, can swallow that. The rest of us, with our doubts, must face the charge of neoliberalism.

In her introduction, Kardas-Nelson admits that “it will be easy to criticize this book for being too deeply rooted in a Western, particularly American perspective, but that is the point.” But the great benefit of research, be it academic or journalistic, is that you can get more information from people and places outside of your own perspective. Of course, there are limitations to that, but there are more limitations to not doing it. The public record on microcredit in the developing world is much more interesting and even more volatile than Kardas-Nelson presents it. Research, as well as experience, has shown that extreme disruption and turmoil in the financial sector is a calamitous, terrifying, life-altering experience even for the majority whom it does not drive to suicide. Microfinance deserves an account written for laypeople by somebody who understands that, at least, and ideally much more; who researches thoroughly, and who appropriately cites their sources. All told, this book is not it.

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